

Escalation Memo 02

ESCALATION MEMORANDUM

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TO: Steering Committee
FROM: Jennifer Adams, Delivery Manager
DATE: May 27, 2026
SUBJECT: CRITICAL ESCALATION - Customer Data Platform Project Viability

PRIORITY: CRITICAL

ESCALATION LEVEL: STEERING COMMITTEE / EXECUTIVE COMMITTEE

PROJECT INFORMATION

Project Name: Customer Data Platform Implementation
Project ID: CDP-2024-156
Sponsor: Thomas Brown, CMO
Current Status: CRITICAL - PROJECT VIABILITY AT RISK

ESCALATION REASON

The Customer Data Platform project is in critical condition with fundamental issues that threaten project viability. Technical architecture is fundamentally flawed, primary vendor has committed material contract breach, and budget is exhausted with 60% of work remaining. Immediate executive decision is required on project continuation vs. cancellation.

CRITICAL ISSUES

1. Technical Architecture Fundamental Failure
 - Architecture review revealed current design cannot support required real-time processing
 - Scalability limitations prevent meeting business requirements
 - Complete architecture redesign required
 - All completed work (40%) may need redevelopment
 - Timeline impact: 6-8 months delay
2. Vendor Material Contract Breach
 - Primary vendor formally notified inability to deliver real-time processing engine
 - Core functionality unavailable as specified in contract
 - Material breach of contract terms
 - Legal action required
 - Alternative vendor evaluation in progress

3. Budget Exhaustion

- Project budget completely exhausted
- 60% of work remaining
- Additional funding request of \$1.6M submitted
- Contingency budget exhausted
- Project cannot continue without additional funding

4. Key Resource Attrition Risk

- Senior technical resources threatening to leave project
- Loss of critical knowledge and continuity
- Further delays and quality impact
- Retention packages being prepared

5. Reputation and Customer Impact

- Key customers promised CDP capabilities
- Project delays may damage customer relationships
- Competitive positioning at risk

IMPACT ASSESSMENT

Business Impact:

- Project viability in question
- \$3.2M investment at risk if cancelled
- Customer commitments at risk
- Competitive disadvantage if cancelled
- Reputation damage with key customers

Financial Impact:

- \$3.2M already invested
- Additional \$1.6M required to continue
- Potential legal costs for vendor dispute
- Vendor contract penalties may be recoverable

Strategic Impact:

- Digital transformation strategy setback
- Customer data strategy compromised
- Future project credibility impacted

ATTEMPTED RESOLUTIONS

1. Architecture assessment: Complete redesign initiated
2. Vendor engagement: Legal team engaged for contract termination
3. Budget request: Submitted to executive committee
4. Resource retention: Retention packages in preparation
5. Executive briefing: Emergency steering committee meeting scheduled for June 2

REQUESTED ACTION

IMMEDIATE STEERING COMMITTEE / EXECUTIVE COMMITTEE DECISION REQUIRED:

1. Project Continuation Decision

- Go decision: Approve additional \$1.6M funding, 6-8 month timeline extension
- No-Go decision: Cancel project, recover costs from vendor, reallocate resources
- Decision deadline: June 2, 2026 emergency executive committee meeting

2. If Go Decision Approved:

- Approve budget augmentation of \$1.6M
- Approve timeline extension to December 2026
- Approve architecture redesign approach
- Approve vendor termination and replacement

3. If No-Go Decision Approved:

- Authorize project cancellation
- Approve legal action against vendor for breach
- Approve resource reallocation
- Approve customer communication plan

RECOMMENDED NEXT STEPS

1. Emergency Executive Committee meeting: June 2, 2026
2. Attendees: CEO, CIO, CFO, CMO, General Counsel
3. Decision required: Project continuation vs. cancellation
4. Immediate implementation of decision

CONTACT INFORMATION

Escalating Manager: Jennifer Adams, Delivery Manager

Phone: 555-0789

Email: jennifer.adams@company.com

Sponsor: Thomas Brown, CMO

Phone: 555-0321

Email: thomas.brown@company.com

CC: CEO, CIO, CFO, General Counsel, Project Management Office

This escalation requires immediate executive committee decision to prevent further investment in a non-viable project or to provide necessary resources for successful completion.